Outlook

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Follow-up: where does a loan application become a customer problem?

Morning,

I need help with something that sounds simple but probably is not.

Loan Products wants to understand application drop-off, decline reasons, booked loans and early repayment stress as one journey. Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause. There are enough data exceptions to make a polished average dangerous; preserve the unresolved cases.

The questions I would ask in the room are:
1. What would we expect to see if affordability declines are concentrated by product?
2. What evidence would instead support that some high-conversion channels create weaker early outcomes?
3. How do we rule out that documentation friction drives drop-off?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use June 2021 as the new evidence point rather than recycling the earlier conclusion. Please work towards which application step, policy explanation or channel process should change. A useful output would be a model-ready table, data dictionary and an honest baseline.

Use the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; monthly customer and KYC snapshots; customer contacts, complaints and suggestions; collections cases, promises to pay and recovery payments. One caution: Do not optimise approval rate without affordability, conduct and later-outcome controls.

Regards